Service Charge Setup, Allocation & Reconciliation

User Testing Guide and Current-Scope Verification Checklist

System Overview: Center Estates incorporates an automated Service Charge management engine designed for commercial and residential property recoverable operating expenses. The system encompasses cost-centre scheme definitions, floor-area and equal-share apportionment, per-unit monthly schedules, invoice generation and period reconciliation. This guide distinguishes what is ready to test today from the operating rules that testers should keep in mind.

1. Feature Capability & Completeness Audit

Component / Subsystem	Current Status	Operational & Financial Logic	Audit Verification
Scheme Setup & Budgeting	**Ready to test**	Annual budget definition, effective date tracking, property-scoped cost centres, Floor Area (m²/sqft) or Equal Share models.	Create a scheme, reload the page and confirm it remains on the selected property.
Apportionment Engine	**Ready to test**	Calculates unit share ratios. Floor area mode enforces positive sqm. Penny rounding absorbed on last unit to guarantee exact 100.00% pool.	Confirm the annual allocation total equals the scheme budget after every generation.
Unit Allocations Ledger	**Ready to test**	Generates atomic annual and monthly figures per unit. Idempotent re-runs update existing records in place.	Re-run generation and confirm the same unit allocations are updated, not duplicated.
Multi-Batch Billing Pipeline	**Ready for a single active scheme**	The pipeline creates service-charge lines from a unit allocation. Keep one active scheme per unit during testing; the latest active scheme is the one billed.	Generate once, then repeat the same period and confirm no duplicate invoice is produced.
Expense Reconciliation	**Ready to test**	Prorates a scheme budget by days in the period and compares it with approved or paid expenses for that property. Review, approve and download the statement.	Use a controlled expense and confirm the expected variance before approving the statement.

2. Step-by-Step Quick Navigation & Testing Playbook

Phase 1: Pre-requisites & Workspace Verification

1. Navigate to **Property Management** in the main navbar.
2. Ensure the desired Property (e.g. *BLUESHIELD TOWERS*) is selected in the top property selector dropdown.
3. Verify in **Units** that lettable units have valid area measurements (m² or sqft) configured.

Phase 2: Setting Up a Service Charge Scheme

1. In the Property subtabs, click on **SERVICE CHARGE** → **Service Charge Schemes**.
2. Click the **+ Set Up Charge** button in the top action toolbar.
3. Enter the Scheme Parameters:
   - **Scheme Name:** e.g., *2026 Commercial Common Area SC*
   - **Annual Budget:** e.g., *KES 2,400,000* (yields KES 200,000 monthly billable pool)

- **Apportionment Method:** Select *Floor Area (Proportionate)* or *Equal Share*.
- **Effective Start Date:** e.g., *2026-01-01*

4. Click **Save Service Charge**. The scheme appears in the Cost Centres ledger. Keep only one active scheme for a unit while testing invoicing.

Phase 3: Generating and Auditing Apportionments

1. Locate the created scheme row and click ■ **Generate Allocations**.
2. Navigate to the **Charge Allocations** subtab.
3. Verify the generated ledger table:
   - Confirm all units intended to share the charge are allocated.
   - Confirm **Total Ratio = 100.00% Balanced**.
   - Confirm total annual allocations equal exactly the annual budget (KES 2,400,000).
   - Click ■ **Export CSV Schedule** to download the complete allocation matrix.

Phase 4: Billing Execution

1. Click ■ **Bulk Bill Service Charge** → (or navigate to **INVOICING** → **Billing Pipeline**).
2. Choose the period and select service charge candidates that are marked ready.
3. Generate the invoices once, then open the Invoice Register and confirm the distinct service-charge line, amount and status.
4. Repeat the same run only as a duplicate-prevention check: it must not create another invoice for the same lease and period.

Phase 5: Expense Reconciliation & Audit Variance

1. Record a controlled operating expense under **Expenses & Payables** (e.g. Cleaning, Security or Power) and move it to approved or paid.
2. In **Service Charge Schemes**, click ■ **Reconcile** on the scheme row.
3. Enter the audit period (e.g. *2026-01-01 to 2026-06-30*) and click **Create Reconciliation**.
4. In **Reconciliations**, review the Prorated Budgeted OPEX, Actual Incurred Expenses and Net Variance. Use **Review & Audit**, then **Approve**, then download the PDF certificate.

3. Interface Aids and Testing Boundaries

Architecture Feature	Benefit to Finance & Property Management	Status
Visual Workflow Ribbon	The module navigation keeps setup, allocations and reconciliation as separate second-level pages, avoiding duplicate third-level tabs.	**Live**
High-Contrast Typography	KPI cards, labels and status badges use the shared high-contrast theme tokens. Test both light and dark themes before acceptance.	**Test in both themes**
Standardized KPI Strips	Clean surface cards with subtle border accents, status badges, and formatted KES currency metrics.	**Live**
Multi-Batch Invoicing	The billing pipeline can generate charge lines from the current unit schedule. Test with one active scheme per unit; multi-scheme stacking is not a release criterion yet.	**Controlled test scope**
Year-End Audit Certificates	Approved reconciliations can be downloaded as a branded reconciliation statement. The certificate reports the calculated variance; it does not automatically post a credit or balancing invoice.	**Live PDF; posting is manual**

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Platform: Center Estates Enterprise ERP (v2.6 Live)
Testing Status: Use this guide as the acceptance checklist. Record any failed expected result before operating on live financial data.